

Fearnleys Dry Bulk Weekly

Nov 13, 2025



Capesize/Newcastlemax

Last week, we wrote "Consumption kept falling last week, with hot metal output at the lowest level since March (except for the military parade temporary curbs this autumn). This is a clear downside risk for the coming months. However, has the inventory cycle turned? The bottom right chart shows that inventories have changed in a 2-year rhythm in recent years, and it is now ticking up right at the time this rhythm suggested it would.

Looking beyond the near-term risk related to falling consumption, the iron ore futures curve remains backwardated (suggesting improving fundamentals from the start of next year). Profit margins at steel mills in China improved noticeably in just the last week, which is another pointer in that direction.

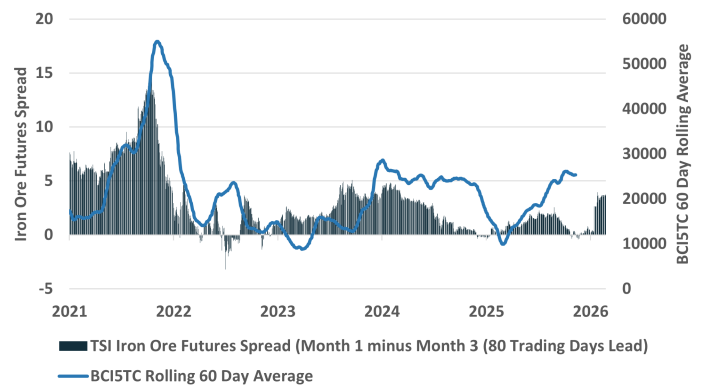
Bauxite volumes have increased, in line with seasonality, but October shipments were still slightly lower than the levels seen prior to the summer."

Iron ore consumption fell further last week, as did the share of profitable steel mills. Hot metal output in China is now at the same level as last year, after having been higher than last year all through 2025. However, bauxite shipments remain higher than last year, and October was the first month this year in which coal shipments were higher than last year. So, although the slowdown in iron ore demand raises the risk of a near-term correction, we think a similar ending to last year is unlikely.

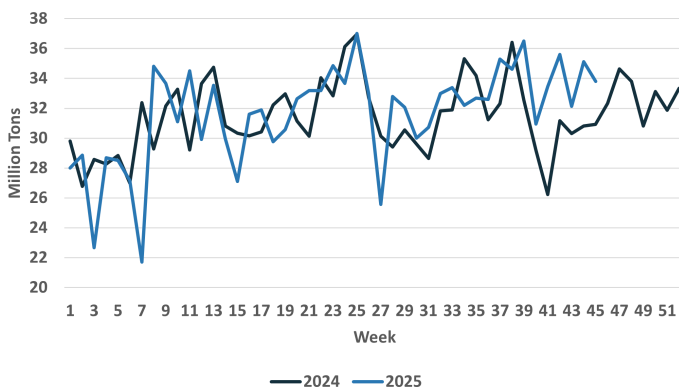
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



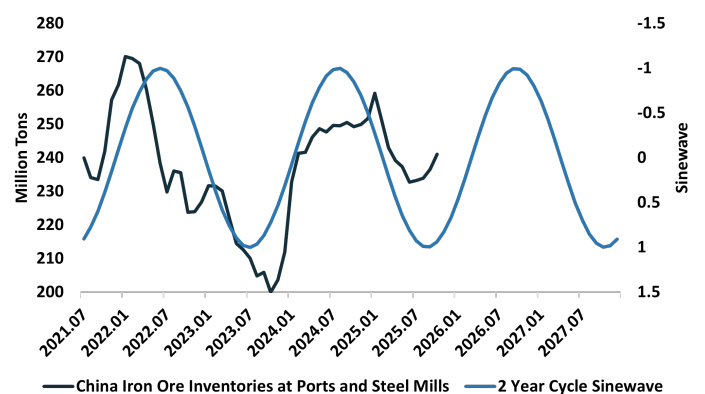
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Cape/Newc Weekly Shipments 24 vs 25



China Iron Ore Inventories at Ports and Steel Mills



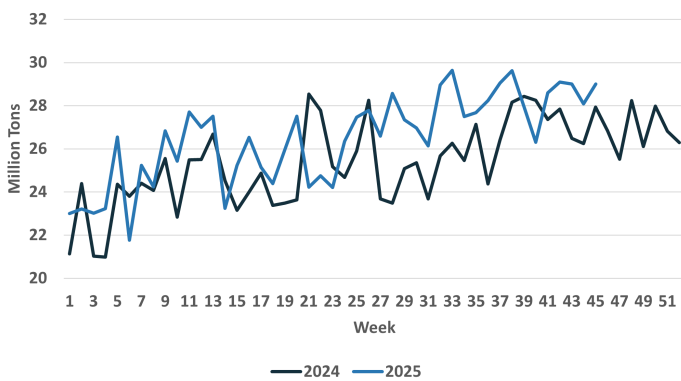
Panamax/Kamsarmax

Last week, we wrote *"The coal market is strengthening, as evidenced by increasing backwardation and a rise in spot prices up to the levels seen this summer. This suggests support in Pacific markets into the year-end, although a downtrend looks most likely, as the South Atlantic is likely to soften as per the vessel tightness indicator on the lower right chart. Also, the spread over Supramax (58) rates has gotten quite wide."*

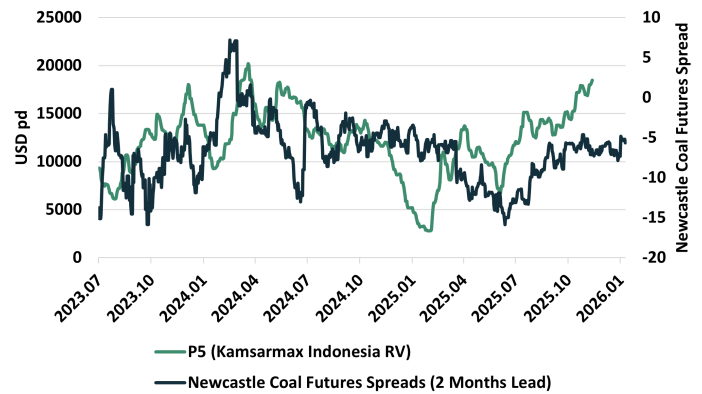
Atlantic markets in general could, of course, be supported by the US/China trade deal. However, crush margins in China are deeply negative, Soybean CIF prices in the US are more expensive than Argentinian and Brazilian far out on the futures curve, and there has been no official communication from the Chinese side regarding these "12 million tons" that the US says China agreed to buy."

Markets have firmed up slightly in the last week. No significant change otherwise to the indicators below, so a downtrend into year-end still seems most likely. Yesterday, it was reported that China's purchases of US soybeans stalled abruptly.

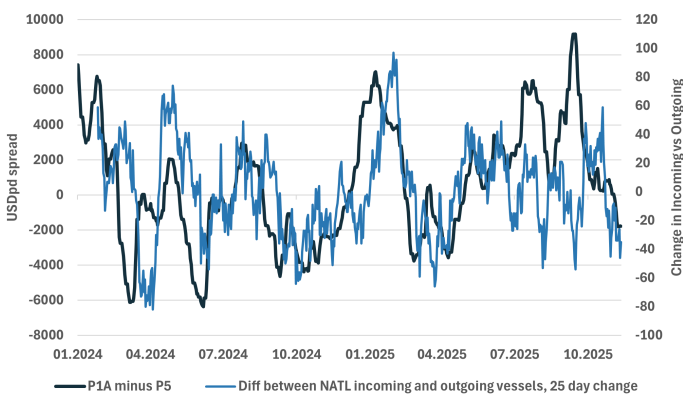
Pmx/Kmx Weekly Shipment Volumes



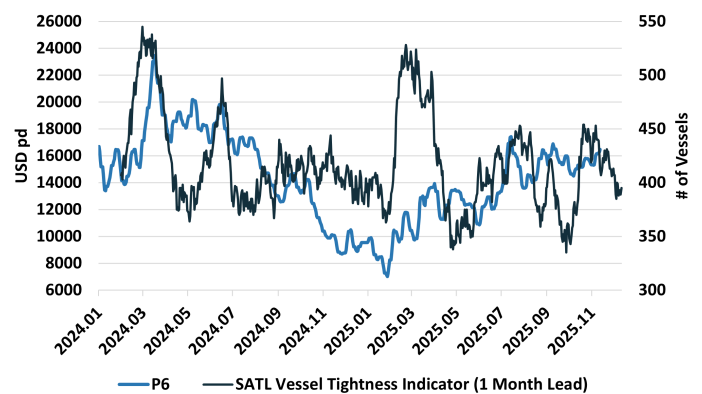
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic net Vessel Change vs P1A minus P5



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



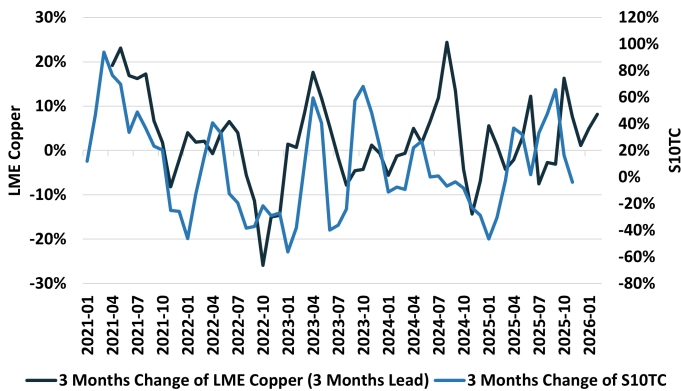
Supramax/Ultramax

Two weeks ago, we wrote: "We still expect that the highs for the year are past us, with most of the downside risk in the Atlantic. If we are correct that the Kamsarmax market in the Pacific is topping here, it is hard to expect further upside for Ultras in that basin. We think the market floor is higher than the first half of this year, so a major downward correction is unlikely. Industrial metals have risen significantly in the last months, and Manufacturing PMIs have improved as well."

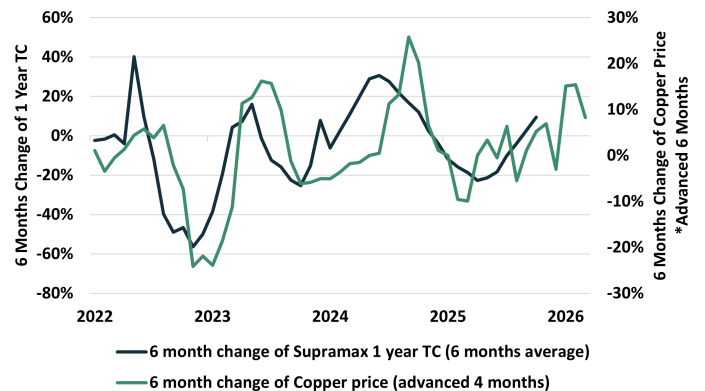
Rates found support last week, reflecting that the underlying fundamentals are strong. The surge in USG rates has been particularly impressive. We still think the highs of the year are behind us, however.

In comparable years when demand growth surged during the second half of the year, like this year, the following Q1 turned out to be quite firm. 2023 into 2024, when the S11TC index bottomed at 13.500 usd pd in January, and 2020 into 2021, when markets kept rising in Q1.

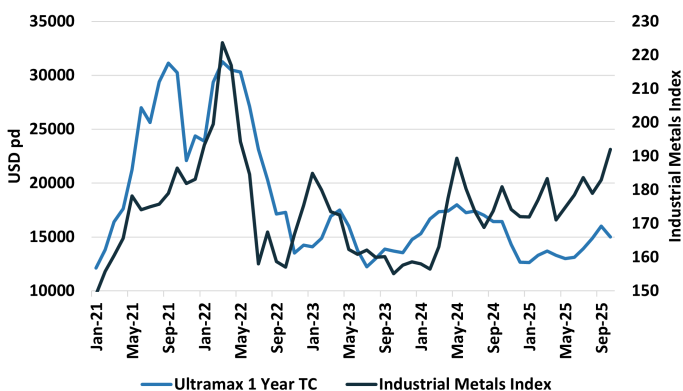
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



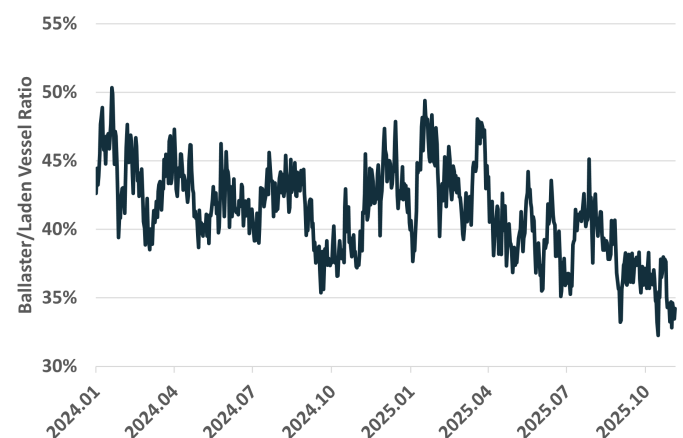
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Supra/Ultra Ballaster/Laden Vessel Ratio





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company